

Profit & Loss (NT\$m)

Year to 31 December	2021A	2022A	2023A	2024A	2025CT	2026CT	2027CT
Revenue	192,626	292,876	241,901	360,541	879,897	1,055,970	1,231,038
Cogs (ex-D&A)	(176,457)	(268,135)	(218,242)	(321,136)	(803,773)	(974,072)	(1,140,610)
Gross Profit (ex-D&A)	16,169	24,741	23,659	39,405	76,124	81,899	90,428
Research & development costs	(2,459)	(3,529)	(4,019)	(6,044)	(8,508)	(10,299)	(12,003)
Selling & marketing expenses	(937)	(1,306)	(1,054)	(1,270)	(2,127)	(2,377)	(2,770)
Other SG&A	(838)	(1,311)	(1,714)	(1,988)	(3,094)	(3,169)	(3,693)
Other Op Expenses ex-D&A	0	-	-	-	-	-	-
Op Ebitda	11,935	18,596	16,873	30,103	62,395	66,054	71,963
Depreciation/amortisation	(548)	(762)	(1,002)	(2,005)	(4,716)	(2,407)	(1,152)
Op Ebit	11,387	17,834	15,871	28,099	57,678	63,647	70,811
Interest income	62	156	456	1,219	1,149	1,190	1,197
Interest expense	(356)	(882)	(953)	(1,242)	(2,309)	(2,190)	(2,167)
Net interest inc/(exp)	(295)	(726)	(498)	(23)	(1,160)	(1,001)	(970)
Associates/investments	11	(169)	(18)	(46)	152	0	0
Forex/other income	(111)	931	59	693	1,117	63	125
Asset sales/other cash items	-	-	-	-	-	-	-
Provisions/other non-cash items	11	27	30	108	114	320	320
Asset revaluation/Exceptional items	-	-	-	-	-	-	-
Profit before tax	11,003	17,897	15,444	28,830	57,902	63,029	70,286
Taxation	(2,348)	(3,723)	(3,400)	(6,054)	(12,586)	(13,299)	(14,830)
Profit after tax	8,655	14,175	12,044	22,776	45,316	49,730	55,456
Preference dividends	-	-	-	-	-	-	-
Profit for period	8,655	14,175	12,044	22,776	45,316	49,730	55,456
Minority interest	0	0	0	0	0	0	0
Net profit	8,655	14,175	12,044	22,776	45,316	49,730	55,456
Extraordinaries/others	0	0	0	0	0	0	0
Profit avail to ordinary shares	8,655	14,175	12,044	22,776	45,316	49,730	55,456
Dividends	(5,595)	(4,371)	(8,742)	(7,343)	(13,316)	(26,283)	(28,843)
Retained profit	3,060	9,804	3,302	15,433	32,000	23,447	26,612
Adjusted profit	8,655	14,175	12,044	22,776	45,316	49,730	55,456
EPS (NT\$)	49.5	81.1	68.9	126.6	235.6	258.5	288.3
Adj EPS [pre excep] (NT\$)	49.5	81.1	68.9	126.6	235.6	258.5	288.3
Core EPS (NT\$)	49.5	81.1	68.9	126.6	235.6	258.5	288.3
DPS (NT\$)	25.0	50.0	42.0	74.0	136.6	149.9	167.2

Profit & loss ratios

Year to 31 December	2021A	2022A	2023A	2024A	2025CT	2026CT	2027CT
Growth (%)							
Revenue growth (% YoY)	3.0	52.0	(17.4)	49.0	144.0	20.0	16.6
Ebitda growth (% YoY)	2.6	55.8	(9.3)	78.4	107.3	5.9	8.9
Ebit growth (% YoY)	1.3	56.6	(11.0)	77.1	105.3	10.3	11.3
Net profit growth (%)	0.5	63.8	(15.0)	89.1	99.0	9.7	11.5
EPS growth (% YoY)	0.5	63.8	(15.0)	83.7	86.1	9.7	11.5
Adj EPS growth (% YoY)	0.5	63.8	(15.0)	83.7	86.1	9.7	11.5
DPS growth (% YoY)	(21.9)	100.0	(16.0)	76.2	84.6	9.7	11.5
Core EPS growth (% YoY)	0.5	63.8	(15.0)	83.7	86.1	9.7	11.5
Margins (%)							
Gross margin (%)	8.4	8.4	9.8	10.9	8.7	7.8	7.3
Ebitda margin (%)	6.2	6.3	7.0	8.3	7.1	6.3	5.8
Ebit margin (%)	5.9	6.1	6.6	7.8	6.6	6.0	5.8
Net profit margin (%)	4.5	4.8	5.0	6.3	5.2	4.7	4.5
Core profit margin	4.5	4.8	5.0	6.3	5.2	4.7	4.5
Op cashflow margin	(7.4)	10.5	9.5	(5.5)	3.8	3.4	2.9
Returns (%)							
ROE (%)	33.1	43.8	30.8	36.3	45.0	38.7	36.1
ROA (%)	12.8	16.3	13.9	15.9	20.8	18.9	18.1
ROIC (%)	37.9	48.0	62.2	51.3	55.8	49.5	45.5
ROCE (%)	48.6	62.5	84.5	67.5	72.4	63.1	58.4
Other key ratios (%)							
Effective tax rate (%)	21.3	20.8	22.0	21.0	21.7	21.1	21.1
Ebitda/net int exp (x)	40.5	25.6	33.9	1,301.8	53.8	66.0	74.2
Exceptional or extraord. inc/PBT (%)	-	-	-	-	-	-	-
Dividend payout (%)	50.5	61.7	61.0	58.5	58.0	58.0	58.0

Source: CLST

Balance sheet (NT\$m)

Year to 31 December	2021A	2022A	2023A	2024A	2025CT	2026CT	2027CT
Cash & equivalents	22,673	26,232	37,495	48,329	54,575	61,248	65,800
Accounts receivable	13,786	21,327	11,055	38,454	58,660	70,398	82,069
Inventories	45,383	36,012	30,179	86,211	107,799	130,197	152,235
Other current assets	31	270	163	201	201	201	201
Current assets	81,873	83,840	78,892	173,195	221,234	262,045	300,305
Fixed assets	1,038	2,157	5,626	9,163	16,791	18,384	25,192
Investments	555	839	1,172	2,197	2,197	2,197	2,197
Goodwill	0	0	0	0	0	0	0
Other intangible assets	99	138	132	174	174	174	174
Other non-current assets	1,173	1,865	3,024	5,949	3,279	3,820	4,187
Total assets	84,737	88,838	88,845	190,679	243,675	286,620	332,056
Short term loans/OD	21,266	-	2,884	6,125	4,008	5,011	5,448
Accounts payable	18,279	26,465	20,169	53,585	80,849	97,648	114,176
Accrued expenses	-	-	-	-	-	-	-
Taxes payable	0	0	0	0	0	0	0
Other current liabs	7,621	12,098	13,441	16,654	14,064	14,720	15,146
Current liabilities	47,166	38,562	36,494	76,364	98,921	117,378	134,770
Long-term debt/leases/other	9,436	9,440	8,443	22,004	22,204	22,404	22,604
Convertible bonds	-	-	-	-	-	-	-
Provisions/other LT liabs	765	2,049	1,674	4,108	2,283	3,124	4,355
Total liabilities	57,367	50,051	46,611	102,476	123,408	142,906	161,729
Share capital	1,748	1,748	1,748	1,858	1,924	1,924	1,924
Retained earnings	14,767	23,514	25,823	40,029	67,497	85,971	107,038
Reserves/others	11,048	11,912	13,352	42,723	47,254	52,227	57,773
Shareholder funds	27,563	37,174	40,924	84,611	116,675	140,122	166,734
Minorities/other equity	(193)	1,613	1,310	3,592	3,592	3,592	3,592
Total equity	27,370	38,787	42,234	88,203	120,268	143,715	170,327
Total liabs & equity	84,737	88,838	88,845	190,679	243,675	286,620	332,056
Total debt	30,702	9,440	11,327	28,128	26,212	27,415	28,052
Net debt	8,029	(16,792)	(26,168)	(20,200)	(28,363)	(33,834)	(37,748)
Adjusted EV	584,217	560,106	548,601	590,838	607,333	601,862	597,948
BVPS (NT\$)	157.6	212.6	234.1	455.3	606.5	728.4	866.8

Balance sheet ratios

Year to 31 December	2021A	2022A	2023A	2024A	2025CT	2026CT	2027CT
Key ratios							
Current ratio (x)	1.7	2.2	2.2	2.3	2.2	2.2	2.2
Growth in total assets (% YoY)	54.8	4.8	0.0	114.6	27.8	17.6	15.9
Growth in capital employed (% YoY)	204.2	(38.2)	(27.6)	328.3	36.1	19.6	20.7
Net debt to operating cashflow (x)	(0.6)	-	-	-	-	-	-
Gross debt to operating cashflow (x)	(2.2)	0.3	0.5	(1.4)	0.8	0.8	0.8
Gross debt to Ebitda (x)	2.6	0.5	0.7	0.9	0.4	0.4	0.4
Net debt/Ebitda (x)	0.7	-	-	-	-	-	-
Gearing							
Net debt/equity (%)	29.3	(43.3)	(62.0)	(22.9)	(23.6)	(23.5)	(22.2)
Gross debt/equity (%)	112.2	24.3	26.8	31.9	21.8	19.1	16.5
Interest cover (x)	32.1	20.4	17.1	23.6	25.5	29.6	33.2
Debt cover (x)	(0.5)	3.2	2.0	(0.7)	1.3	1.3	1.3
Net cash per share (NT\$)	(45.9)	96.0	149.7	112.3	147.4	175.9	196.2
Working capital analysis							
Inventory days	67.2	55.2	55.1	65.7	43.8	44.5	45.1
Debtor days	22.2	21.9	24.4	25.1	20.1	22.3	22.6
Creditor days	31.8	30.4	38.8	41.7	30.3	33.4	33.9
Working capital/Sales (%)	17.3	6.5	3.2	15.2	8.2	8.4	8.5
Capital employed analysis							
Sales/Capital employed (%)	546.5	1,344.5	1,534.7	534.0	957.4	961.0	928.5
EV/Capital employed (%)	1,657.5	2,571.2	3,480.4	875.1	660.8	547.7	451.0
Working capital/Capital employed (%)	94.5	87.4	49.4	80.9	78.1	80.5	79.3
Fixed capital/Capital employed (%)	2.9	9.9	35.7	13.6	18.3	16.7	19.0
Other ratios (%)							
PB (x)	20.9	15.5	14.1	7.2	5.4	4.5	3.8
EV/Ebitda (x)	49.0	30.1	32.5	19.6	9.7	9.1	8.3
EV/OCF (x)	(41.1)	18.3	23.8	(29.6)	18.2	17.0	16.7
EV/FCF (x)	(39.7)	19.2	30.2	(23.7)	33.6	19.1	18.7
EV/Sales (x)	3.0	1.9	2.3	1.6	0.7	0.6	0.5
Capex/depreciation (%)	101.0	216.6	553.9	267.5	333.6	166.2	347.3

Source: CLST

Cashflow (NT\$m)

Year to 31 December	2021A	2022A	2023A	2024A	2025CT	2026CT	2027CT
Operating profit	11,387	17,834	15,871	28,099	57,678	63,647	70,811
Operating adjustments	(2,732)	(3,660)	(3,827)	(5,323)	(12,363)	(13,917)	(15,355)
Depreciation/amortisation	548	762	1,002	2,005	4,716	2,407	1,152
Working capital changes	(23,294)	14,195	11,167	(47,024)	(16,632)	(16,682)	(16,754)
Interest paid / other financial expenses	25	68	64	68	27	0	0
Tax paid	-	-	-	-	-	-	(3,960)
Other non-cash operating items	(146)	1,478	(1,216)	2,183	0	0	0
Net operating cashflow	(14,212)	30,678	23,060	(19,993)	33,427	35,455	35,893
Capital expenditure	(511)	(1,466)	(4,886)	(4,891)	(15,367)	(4,000)	(4,000)
Free cashflow	(14,723)	29,212	18,175	(24,884)	18,060	31,455	31,893
Acq/inv/disposals	(277)	-	-	(581)	-	-	-
Int, invt & associate div	(252)	(464)	190	(183)	652	652	652
Net investing cashflow	(1,039)	(1,930)	(4,696)	(5,655)	(14,715)	(3,348)	(3,348)
Increase in loans	20,574	(22,561)	1,893	17,885	400	400	400
Dividends	(5,595)	(4,371)	(8,742)	(7,343)	(13,316)	(26,283)	(28,843)
Net equity raised/others	(124)	751	(265)	25,774	350	350	350
Net financing cashflow	14,855	(26,181)	(7,115)	36,316	(12,566)	(25,533)	(28,093)
Incr/(decr) in net cash	(397)	2,567	11,250	10,668	6,146	6,574	4,452
Exch rate movements	(99)	992	13	166	100	100	100
Opening cash	23,169	22,673	26,232	37,495	48,329	54,575	61,248
Closing cash	22,673	26,232	37,495	48,329	54,575	61,248	65,800
OCF PS (NT\$)	(81.3)	175.5	131.9	(111.1)	173.8	184.3	186.6
FCF PS (NT\$)	(84.2)	167.1	103.9	(138.3)	93.9	163.5	165.8

Cashflow ratio analysis

Year to 31 December	2021A	2022A	2023A	2024A	2025CT	2026CT	2027CT
Growth (%)							
Op cashflow growth (% YoY)	(200.9)	nm	(24.8)	(186.7)	nm	6.1	1.2
FCF growth (% YoY)	(208.7)	-	(37.8)	(236.9)	-	74.2	1.4
Capex growth (%)	(7.6)	187.0	233.4	0.1	214.2	(74.0)	0.0
Other key ratios (%)							
Capex/sales (%)	0.3	0.5	2.0	1.4	1.7	0.4	0.3
Capex/op cashflow (%)	(3.6)	4.8	21.2	(24.5)	46.0	11.3	11.1
Operating cashflow payout ratio (%)	-	28.5	31.8	-	78.6	81.4	89.6
Cashflow payout ratio (%)	-	14.2	37.9	-	39.8	74.1	80.4
Free cashflow payout ratio (%)	-	15.0	48.1	-	73.7	83.6	90.4

DuPont analysis

Year to 31 December	2021A	2022A	2023A	2024A	2025CT	2026CT	2027CT
Ebit margin (%)	5.9	6.1	6.6	7.8	6.6	6.0	5.8
Asset turnover (x)	2.8	3.4	2.7	2.6	4.1	4.0	4.0
Interest burden (x)	1.0	1.0	1.0	1.0	1.0	1.0	1.0
Tax burden (x)	0.8	0.8	0.8	0.8	0.8	0.8	0.8
Return on assets (%)	12.8	16.3	13.9	15.9	20.8	18.9	18.1
Leverage (x)	2.7	2.6	2.2	2.1	2.1	2.0	2.0
ROE (%)	33.1	43.8	30.8	36.3	45.0	38.7	36.1

EVA® analysis

Year to 31 December	2021A	2022A	2023A	2024A	2025CT	2026CT	2027CT
Ebit adj for tax	8,957	14,125	12,377	22,198	45,141	50,218	55,870
Average invested capital	23,653	29,407	19,887	43,241	80,952	101,399	122,772
ROIC (%)	37.9	48.0	62.2	51.3	55.8	49.5	45.5
Cost of equity (%)	7.1	7.1	7.1	7.1	7.1	7.1	7.1
Cost of debt (adj for tax)	3.9	4.0	3.9	4.0	3.9	3.9	3.9
Weighted average cost of capital (%)	6.6	6.6	6.6	6.6	6.6	6.6	6.6
EVA/IC (%)	31.3	41.4	55.6	44.7	49.2	42.9	38.9
EVA (NT\$m)	7,397	12,183	11,066	19,344	39,803	43,526	47,768

Source: CLST

Income Statement - Annual	FY24A	FY25E	FY26E	FY27E
Revenue	2,894,308	3,618,960	4,118,088	4,634,792
COGS	(1,269,954)	(1,542,424)	(1,757,443)	(1,971,580)
Gross profit	1,624,354	2,076,535	2,360,645	2,663,212
SG&A	(98,119)	(104,848)	(118,072)	(134,184)
Adj. EBITDA	1,984,850	2,451,520	2,857,399	3,201,001
D&A	(662,797)	(740,580)	(915,088)	(1,025,983)
Adj. EBIT	1,322,053	1,710,940	1,942,311	2,175,018
Net Interest	76,718	85,510	65,662	88,241
Adj. PBT	1,405,839	1,808,264	2,012,205	2,267,620
Tax	(233,407)	(296,027)	(326,871)	(368,565)
Minority Interest	836	3,171	3,120	3,120
Adj. Net Income	1,173,268	1,515,408	1,688,455	1,902,176
Reported EPS	45.24	58.44	65.11	73.35
Adj. EPS	45.24	58.44	65.11	73.35
DPS	16.50	20.00	25.00	33.00
Payout ratio	51.0%	44.2%	42.8%	50.7%
Shares outstanding	25,933	25,933	25,933	25,933
Balance Sheet & Cash Flow Statement	FY24A	FY25E	FY26E	FY27E
Cash and cash equivalents	2,422,020	2,402,455	3,041,525	3,916,622
Accounts receivable	272,088	412,070	530,469	553,095
Inventories	287,869	245,280	315,755	329,223
Other current assets	106,376	32,555	41,909	43,697
Current assets	3,088,352	3,092,361	3,929,658	4,842,637
PP&E	3,234,980	3,719,215	4,109,127	4,257,644
LT investments	149,040	139,496	143,728	148,089
Other non current assets	219,565	217,799	217,799	217,799
Total assets	6,691,938	7,168,871	8,400,313	9,466,169
Short term borrowings	59,858	94,214	94,214	94,214
Payables	74,227	98,112	126,302	131,689
Other short term liabilities	1,130,441	663,164	853,709	890,122
Current liabilities	1,264,525	855,490	1,074,225	1,116,026
Long-term debt	958,429	848,535	848,535	848,535
Other long term liabilities	145,408	147,892	120,459	98,114
Total liabilities	2,368,362	1,851,917	2,043,219	2,062,675
Shareholders' equity	4,288,545	5,281,396	6,321,536	7,367,936
Minority interests	35,031	35,558	35,558	35,558
Total liabilities & equity	6,691,938	7,168,871	8,400,313	9,466,169
BVPS	165.4	203.7	243.8	284.1
y/y Growth	24.0%	23.2%	19.7%	16.6%
Net debt/(cash)	(1,403,733)	(1,459,706)	(2,098,776)	(2,973,873)
Cash flow from operating activities	1,975,661	1,785,853	2,620,930	2,928,958
o/w Depreciation & amortization	662,797	740,580	915,088	1,025,983
o/w Changes in working capital	(90,016)	(73,508)	(160,684)	(30,707)
Cash flow from investing activities	(928,044)	(1,213,504)	(1,309,232)	(1,178,861)
o/w Capital expenditure	(958,198)	0	0	0
as % of sales	33.1%	0.0%	0.0%	0.0%
Cash flow from financing activities	(313,242)	(591,913)	(672,628)	(875,000)
o/w Dividends paid	(428,731)	(521,824)	(651,435)	(858,896)
o/w Net debt issued/(repaid)	90,711	(75,538)	0	0
Net change in cash	734,375	(19,564)	639,069	875,097
Adj. Free cash flow to firm	1,142,360	561,038	1,315,930	1,754,458
y/y Growth	164.7%	(50.9%)	134.6%	33.3%

Ratio Analysis	FY24A	FY25E	FY26E	FY27E
Gross margin	56.1%	57.4%	57.3%	57.5%
EBITDA margin	68.6%	67.7%	69.4%	69.1%
EBIT margin	45.7%	47.3%	47.2%	46.9%
Net profit margin	40.5%	41.9%	41.0%	41.0%
ROE	30.3%	31.7%	29.1%	27.8%
ROA	19.2%	21.9%	21.7%	21.3%
ROCE	22.7%	24.8%	24.1%	23.4%
SG&A/Sales	3.4%	2.9%	2.9%	2.9%
Net debt/equity	NM	NM	NM	NM
P/E (x)	25.0	19.3	17.4	15.4
P/BV (x)	6.8	5.5	4.6	4.0
EV/EBITDA (x)	14.1	11.4	9.5	8.2
Dividend Yield	1.5%	1.8%	2.2%	2.9%
Sales/Assets (x)	47.4%	52.2%	52.9%	51.9%
Interest cover (x)	NM	NM	NM	NM
Operating leverage	128.3%	117.5%	98.0%	95.5%
Revenue y/y Growth	33.9%	25.0%	13.8%	12.5%
EBITDA y/y Growth	36.5%	23.5%	16.6%	12.0%
Tax rate	16.6%	16.4%	16.2%	16.3%
Adj. Net Income y/y Growth	39.9%	29.2%	11.4%	12.7%
EPS y/y Growth	39.9%	29.2%	11.4%	12.7%
DPS y/y Growth	26.9%	21.2%	25.0%	32.0%

Source: Company reports and J.P. Morgan estimates.

Note: NT\$ in millions (except per-share data).Fiscal year ends Dec. o/w - out of which

Income Statement

NT\$m (Years End Dec)	2024	2025E	2026E	2027E
Net sales	51,969	32,543	104,889	136,056
COGS	(41,768)	(24,476)	(84,225)	(111,898)
Gross profit	10,201	8,067	20,664	24,159
Operating expenses	(3,705)	(3,097)	(5,213)	(6,088)
Operating income	6,496	4,970	15,452	18,071
Non-operating income	1,312	1,587	1,309	1,191
Pre-tax income	7,808	6,557	16,761	19,261
Income tax	1,362	1,137	3,268	3,852
Minority Interest	1	(7)	0	0
Reported net income	6,446	5,426	13,493	15,409
Adj.wtd.avg.shrs(m)	79	81	81	81
EPS for Consensus (NT\$)	79.05	65.68	163.36	186.57
Modelware EPS (NT\$)	79.05	65.68	163.36	186.57

Balance Sheet

NT\$m (Years End Dec)	2024	2025E	2026E	2027E
Cash	27,044	33,266	25,539	23,778
Mkt Securities	16	16	16	16
AR/NR	5,730	2,557	8,242	10,691
Inventory	8,661	5,940	20,442	27,158
Other	4,733	4,733	4,733	4,733
Current Assets	46,184	46,513	58,972	66,377
Long-term investments	1,600	1,600	1,600	1,600
Fixed assets	1,775	1,775	1,775	1,775
Deferred assets	169	169	169	169
Other assets	582	582	582	582
Total Assets	50,309	50,638	63,098	70,502
S/T borrowings	0	0	0	0
AP/NP	1,826	1,099	3,783	5,026
Other ST liabilities	8,845	8,845	8,845	8,845
LT debt	0	0	0	0
Other LT liabilities	161	161	161	161
Common shares	806	806	806	806
Total Liabilities	10,833	10,105	12,789	14,032
Additional capital	25,350	25,350	25,350	25,350
Retained earning	10,752	11,808	21,584	27,746
Other shareholders' equity	2,568	2,568	2,568	2,568
Total Equity	39,477	40,533	50,309	56,470
Total Liab. & Shrhldr's Equity	50,309	50,638	63,098	70,502

E = Morgan Stanley Research Estimates

Source: Morgan Stanley Research, Company Data

Cash Flow Statement

NT\$m (Years End Dec)	2024	2025E	2026E	2027E
Cashflow from Operations	3,358	12,721	(1,881)	9,616
Net profits	6,446	5,426	13,493	15,409
Depreciation	2,129	2,129	2,129	2,129
Working Capital Change	(869)	5,166	(17,503)	(7,923)
Other adjustments	(4,348)	0	0	0
Cashflow from Investing	(676)	(2,129)	(2,129)	(2,129)
Capex	(1,998)	(2,129)	(2,129)	(2,129)
Change of LT Investment	1,748	0	0	0
Change of ST Investment	(953)	0	0	0
Other adjustments	527	0	0	0
Cashflow from financing	12,855	(4,370)	(3,716)	(9,248)
Increase in L/T debt	0	0	0	0
Increase in S/T debt	0	0	0	0
Cash Dividend Paid	(1,818)	(4,370)	(3,716)	(9,248)
Issuance of stock	0	0	0	0
Other adjustments	14,673	0	0	0
Exchange rate adjustment	1,348	0	0	0
Net change in cash	16,885	6,222	-7,726	-1,761

Financial Ratios

	2024	2025E	2026E	2027E
Growth(%)				
Turnover	70.5	-37.4	222.3	29.7
Operating profits	72.7	-23.5	210.9	16.9
Pretax profits	86.0	-16.0	155.6	14.9
Net profits	93.8	-15.8	148.7	14.2
EPS	82.7	-16.9	148.7	14.2
Margins (%)				
Gross Margin	19.6	24.8	19.7	17.8
Operating Margin	12.5	15.3	14.7	13.3
Pretax Margin	15.0	20.1	16.0	14.2
Net Profit	12.4	16.7	12.9	11.3
Return (%)				
ROAE	22.4	13.6	29.7	28.9
ROAA	15.6	10.8	23.7	23.1
Gearing (%)				
Net Debt/Equity	(68.5)	(82.1)	(50.8)	(42.1)
Liabilities/Equity	27.4	24.9	25.4	24.8
Ratios (X)				
Current ratio	4.3	4.7	4.7	4.8
Quick ratio	3.1	3.6	2.7	2.5
Others				
AR/NR Turnover (days)	29	29	29	29
Inventory Turnover (days)	89	89	89	89
AP Turnover (days)	16	16	16	16
Cash Conversion (days)	101	101	101	101

資產負債表

NT\$百萬	Dec-23A	Dec-24A	Dec-25A	Dec-26F	Dec-27F
資產總額	87,799	91,247	81,234	86,379	85,919
流動資產	6,536	7,719	7,785	19,009	24,670
現金及短期投資	3,983	4,776	5,083	16,245	21,928
存貨	-	-	-	-	-
應收帳款及票據	150	168	203	265	244
其他流動資產	2,404	2,775	2,498	2,498	2,498
非流動資產	81,263	83,528	73,449	67,370	61,249
長期投資	438	397	398	479	540
固定資產	72,703	75,243	66,293	60,133	53,951
什項資產	8,122	7,888	6,758	6,758	6,758
負債總額	42,803	38,851	33,036	34,541	31,532
流動負債	11,041	9,139	7,968	17,646	16,288
應付帳款及票據	177	199	182	188	194
短期借款	9,088	6,670	5,830	12,653	12,929
什項負債	1,776	2,270	1,956	4,805	3,166
長期負債	31,762	29,712	25,068	16,894	15,243
長期借款	27,765	26,632	22,654	14,480	12,829
其他負債及準備	0	1	1	1	1
股東權益總額	44,996	52,397	48,198	51,839	54,387
普通股本	7,464	7,464	7,464	7,464	7,464
保留盈餘	28,770	32,750	32,954	36,595	39,143
少數股東權益	-	-	-	-	-
優先股股東資金	-	-	-	-	-

主要財務比率

	Dec-23A	Dec-24A	Dec-25A	Dec-26F	Dec-27F
年成長率					
營業收入	(31.8%)	19.9%	(17.1%)	30.3%	(8.1%)
營業收益增長	(69.7%)	95.2%	(40.5%)	116.3%	(25.0%)
EBITDA	(48.7%)	41.7%	(25.3%)	80.0%	(13.5%)
稅後純益	(69.1%)	84.4%	(34.7%)	131.3%	(30.0%)
每股盈餘成長率	(69.1%)	84.4%	(34.7%)	131.3%	(30.0%)
獲利能力分析					
營業毛利率	21.4%	34.2%	25.0%	40.6%	33.4%
營業利率率	20.5%	33.3%	23.9%	39.7%	32.4%
EBITDA Margin	48.5%	57.3%	51.6%	71.3%	67.1%
稅後純益率	19.2%	29.6%	23.3%	41.3%	31.5%
平均資產報酬率	3.6%	6.7%	4.6%	10.9%	7.4%
股東權益報酬率	7.1%	12.4%	7.8%	18.2%	12.0%
穩定 \ 償債能力分析					
毛負債比率 (%)	81.9%	63.6%	59.1%	52.3%	47.4%
淨負債比率	73.9%	55.1%	49.2%	21.6%	7.6%
利息保障倍數 (x)	2.5	4.1	4.0	10.0	7.5
利息及短期債保障倍數 (x)	0.1	0.3	0.3	0.4	0.3
Cash Flow Int. Coverage (x)	3.0	4.6	5.5	15.7	13.7
Cash Flow/Int. & ST Debt (x)	0.6	1.1	1.0	1.2	1.0
流動比率 (x)	0.6	0.8	1.0	1.1	1.5
速動比率 (x)	0.6	0.8	1.0	1.1	1.5
淨負債 (NT\$百萬)	33,263	28,871	23,723	11,211	4,153
每股資料分析					
每股盈餘 (NT\$)	4.38	8.08	5.27	12.19	8.53
每股現金盈餘 (NT\$)	8.61	12.30	9.79	21.46	17.99
每股淨值 (NT\$)	60.28	70.20	64.57	69.45	72.86
調整後每股淨值 (NT\$)	60.28	70.20	64.57	69.45	72.86
每股營收 (NT\$)	22.77	27.29	22.64	29.50	27.10
EBITDA/Share (NT\$)	11.04	15.64	11.69	21.04	18.20
每股現金股利 (NT\$)	2.75	5.00	3.50	7.30	5.10
資產運用狀況					
資產周轉率 (x)	0.19	0.23	0.20	0.26	0.23
應收帳款周轉天數	3.2	3.0	4.4	4.4	4.4
存貨周轉天數	-	-	-	-	-
應付帳款周轉天數	4.8	5.4	5.3	5.3	5.3
現金轉換周轉天數	(1.6)	(2.4)	(0.9)	(0.9)	(0.9)

資料來源：公司資料，凱基

損益表

NT\$百萬	Dec-23A	Dec-24A	Dec-25A	Dec-26F	Dec-27F
營業收入	16,995	20,371	16,896	22,021	20,231
營業成本	(13,353)	(13,411)	(12,671)	(13,073)	(13,474)
營業毛利	3,642	6,960	4,225	8,948	6,758
營業費用	(166)	(174)	(187)	(212)	(203)
營業利益	3,476	6,785	4,039	8,736	6,555
總營業外收入	247	243	179	1,185	829
利息收入	214	232	153	234	275
投資利益淨額	-	-	-	-	-
其他營業外收入	34	10	26	951	555
總營業外費用	(429)	(974)	(263)	(777)	(982)
利息費用	(2,142)	(1,976)	(1,327)	(1,018)	(982)
投資損失	(33)	(107)	(38)	(0)	-
其他營業外費用	1,747	1,109	1,102	241	-
稅前純益	3,295	6,054	3,955	9,144	6,402
所得稅費用[利益]	(25)	(22)	(19)	(41)	(32)
少數股東損益	-	-	-	-	-
非常項目	-	0	(0)	0	-
稅後淨利	3,270	6,031	3,936	9,102	6,370
EBITDA	8,242	11,676	8,725	15,708	13,582
每股盈餘 (NT\$)	4.38	8.08	5.27	12.19	8.53

現金流量

NT\$百萬	Dec-23A	Dec-24A	Dec-25A	Dec-26F	Dec-27F
營運活動之現金流量	6,425	9,181	7,311	16,019	13,425
本期純益	3,270	6,031	3,936	9,102	6,370
折舊及攤提	4,766	4,890	4,686	6,972	7,027
本期運用資金變動	(5)	15	(145)	(56)	27
其他營業資產及負債變動	(1,606)	(1,756)	(1,166)	0	-
投資活動之現金流量	(428)	(1,356)	2,087	(894)	(905)
投資用短期投資出售[新購]	59	74	22	-	-
本期長期投資變動	(80)	(122)	(40)	(81)	(60)
資本支出淨額	(688)	(747)	(876)	(812)	(844)
其他資產變動	282	(561)	2,981	(1)	(1)
自由現金流	7,523	10,918	7,684	14,800	12,732
融資活動之現金流量	(8,724)	(6,855)	(8,776)	(3,963)	(6,837)
短期借款變動	162	(264)	1,364	3,000	3,000
長期借款變動	(3,701)	(4,300)	(4,401)	(4,350)	(4,375)
現金增資	-	-	-	-	-
已支付普通股股息	(4,852)	(2,053)	(3,732)	(2,612)	(5,461)
其他融資現金流	(334)	(239)	(2,007)	(0)	0
匯率影響數	(83)	(130)	(293)		
本期產生現金流量	(2,809)	840	329	11,162	5,683

投資回報率

	Dec-23A	Dec-24A	Dec-25A	Dec-26F	Dec-27F
1 - 營業成本/營業收入					
- 銷管費用/營業收入	1.0%	0.9%	1.1%	1.0%	1.0%
= 營業利率率	20.5%	33.3%	23.9%	39.7%	32.4%
1 / (營業運用資金/營業收入	0.0	0.0	0.0	(0.1)	(0.0)
+ 淨固定資產/營業收入	4.3	3.7	3.9	2.7	2.7
+ 什項資產/營業收入)	0.1	0.1	0.1	0.1	0.1
= 資本周轉率	0.2	0.3	0.2	0.4	0.4
營業利率率	20.5%	33.3%	23.9%	39.7%	32.4%
x 資本周轉率	0.2	0.3	0.2	0.4	0.4
x (1 - 有效現金稅率)	99.3%	99.6%	99.5%	99.5%	99.5%
= 稅後 ROIC	4.6%	8.7%	5.8%	14.4%	11.7%

資料來源：公司資料，凱基

資產負債表

NT\$百萬	Dec-24A	Dec-25A	Dec-26F	Dec-27F	Dec-28F
資產總額	60,915	82,313	94,833	113,855	138,750
流動資產	33,668	51,412	61,179	78,135	101,124
現金及短期投資	10,795	21,785	23,712	30,121	40,220
存貨	11,232	13,824	17,230	21,522	26,322
應收帳款及票據	10,473	14,302	18,647	24,900	32,991
其他流動資產	1,168	1,501	1,591	1,591	1,591
非流動資產	27,247	30,901	33,654	35,720	37,626
長期投資	1,071	1,139	1,006	1,011	1,016
固定資產	14,677	17,324	19,342	21,967	24,431
什項資產	11,500	12,439	13,306	12,742	12,179
負債總額	24,698	35,670	40,505	42,947	46,237
流動負債	16,795	20,630	25,247	27,689	30,979
應付帳款及票據	6,239	9,429	11,256	13,699	16,989
短期借款	5,014	4,814	4,682	4,682	4,682
什項負債	5,542	6,387	9,309	9,309	9,309
長期負債	7,903	15,040	15,258	15,258	15,258
長期借款	4,703	11,678	11,625	11,625	11,625
其他負債及準備	2,461	2,625	2,934	2,934	2,934
股東權益總額	36,217	46,643	54,329	70,908	92,513
普通股股本	1,896	1,954	1,955	1,955	1,955
保留盈餘	9,723	16,864	23,916	40,495	62,101
少數股東權益	8	8	(3)	(3)	(3)
優先股股東資金	-	-	-	-	-

主要財務比率

	Dec-24A	Dec-25A	Dec-26F	Dec-27F	Dec-28F
年成長率					
營業收入	5.9%	31.7%	34.2%	37.2%	30.2%
營業收益增長	55.0%	89.7%	37.8%	60.8%	35.4%
EBITDA	39.5%	71.0%	34.2%	52.6%	32.3%
稅後純益	89.7%	104.8%	43.2%	61.9%	36.2%
每股盈餘成長率	76.9%	83.3%	41.9%	61.9%	36.2%
獲利能力分析					
營業毛利率	28.2%	31.7%	31.3%	33.9%	34.5%
營業利益率	12.1%	17.5%	18.0%	21.0%	21.9%
EBITDA Margin	16.2%	21.1%	21.1%	23.4%	23.8%
稅後純益率	8.1%	12.6%	13.5%	15.9%	16.6%
平均資產報酬率	7.6%	12.6%	14.6%	20.0%	22.5%
股東權益報酬率	14.5%	21.7%	25.5%	33.3%	34.8%
穩定 \ 償債能力分析					
毛負債比率 (%)	26.8%	35.4%	30.0%	23.0%	17.6%
淨負債比率	Net cash	4.5%	Net cash	Net cash	Net cash
利息保障倍數 (x)	8.8	19.9	23.8	38.6	52.2
利息及短期償保障倍數 (x)	0.5	0.7	0.8	0.8	0.9
Cash Flow Int. Coverage (x)	8.5	13.7	14.0	21.5	29.9
Cash Flow/Int. & ST Debt (x)	1.2	1.6	1.9	2.9	4.1
流動比率 (x)	2.0	2.5	2.4	2.8	3.3
速動比率 (x)	1.3	1.8	1.7	2.0	2.4
淨負債 (NT\$百萬)	(458)	2,097	(801)	(7,210)	(17,309)
每股資料分析					
每股盈餘 (NT\$)	25.41	46.57	66.09	106.99	145.75
每股現金盈餘 (NT\$)	39.93	44.45	53.91	81.51	113.43
每股淨值 (NT\$)	191.02	238.64	278.51	363.50	474.25
調整後每股淨值 (NT\$)	209.27	241.17	278.53	363.50	474.25
每股營收 (NT\$)	312.56	368.46	490.32	672.64	875.79
EBITDA/Share (NT\$)	50.73	77.63	103.30	157.60	208.46
每股現金股利 (NT\$)	12.00	15.00	22.00	35.00	48.00
資產運用狀況					
資產周轉率 (x)	0.94	0.99	1.08	1.26	1.35
應收帳款周轉天數	70.9	73.3	71.2	69.3	70.7
存貨周轉天數	105.9	103.7	95.7	90.5	86.1
應付帳款周轉天數	58.8	70.8	62.5	57.6	55.6
現金轉換周轉天數	117.9	106.2	104.3	102.2	101.2

資料來源：公司資料，凱基

損益表

NT\$百萬	Dec-24A	Dec-25A	Dec-26F	Dec-27F	Dec-28F
營業收入	54,080	71,247	95,644	131,217	170,848
營業成本	(38,828)	(48,643)	(65,694)	(86,776)	(111,867)
營業毛利	15,253	22,605	29,950	44,441	58,981
營業費用	(8,687)	(10,147)	(12,779)	(16,835)	(21,615)
營業利益	6,566	12,458	17,170	27,606	37,366
總營業外收入	568	494	829	1,002	1,325
利息收入	426	349	645	857	1,160
投資利益淨額	9	14	5	5	5
其他營業外收入	133	132	179	140	160
總營業外費用	(816)	(1,086)	(893)	(780)	(780)
利息費用	(815)	(629)	(749)	(740)	(740)
投資損失	(0)	-	(11)	-	-
其他營業外費用	(1)	(457)	(133)	(40)	(40)
稅前純益	6,318	11,866	17,107	27,828	37,911
所得稅費用[利益]	(1,928)	(2,861)	(4,215)	(6,957)	(9,478)
少數股東損益	6	0	0	-	-
非常項目	-	0	-	-	-
稅後淨利	4,396	9,005	12,892	20,871	28,433
EBITDA	8,777	15,012	20,150	30,745	40,665
每股盈餘 (NT\$)	25.41	46.57	66.09	106.99	145.75

現金流量

NT\$百萬	Dec-24A	Dec-25A	Dec-26F	Dec-27F	Dec-28F
營運活動之現金流量	6,909	8,595	10,516	15,901	22,127
本期純益	4,396	9,005	12,892	20,871	28,433
折舊及攤提	2,211	2,554	2,979	3,139	3,299
本期運用資金變動	(314)	(3,677)	(5,256)	(8,104)	(9,600)
其他營業資產及負債變動	616	713	(99)	(5)	(5)
投資活動之現金流量	(4,377)	(10,838)	(4,375)	(5,200)	(5,200)
投資用短期投資出售[新購]	1,045	(6,642)	-	-	-
本期長期投資變動	-	(31)	-	-	-
資本支出淨額	(3,265)	(3,517)	(4,136)	(5,200)	(5,200)
其他資產變動	(2,157)	(648)	(240)	-	-
自由現金流	2,794	4,311	5,963	9,977	15,961
融資活動之現金流量	(2,943)	5,312	(3,604)	(4,292)	(6,828)
短期借款變動	1,130	(1,781)	-	-	-
長期借款變動	(2,085)	9,929	(182)	-	-
現金增資	-	-	-	-	-
已支付普通股股息	(1,470)	(2,278)	(2,925)	(4,291)	(6,828)
其他融資現金流	(518)	(558)	(497)	(0)	-
匯率影響數	(41)	1,150	176	-	-
本期產生現金流量	(452)	4,220	2,712	6,409	10,099

投資回報率

	Dec-24A	Dec-25A	Dec-26F	Dec-27F	Dec-28F
1 - 營業成本/營業收入					
- 銷管費用/營業收入	16.1%	14.2%	13.4%	12.8%	12.7%
= 營業利益率	12.1%	17.5%	18.0%	21.0%	21.9%
1 / (營業運用資金/營業收入	0.2	0.2	0.2	0.2	0.2
+ 淨固定資產/營業收入	0.3	0.2	0.2	0.2	0.1
+ 什項資產/營業收入)	0.0	0.0	0.0	0.0	0.0
= 資本周轉率	2.1	2.2	2.6	2.8	2.9
營業利益率	12.1%	17.5%	18.0%	21.0%	21.9%
x 資本周轉率	2.1	2.2	2.6	2.8	2.9
x (1 - 有效現金稅率)	69.5%	75.9%	75.4%	75.0%	75.0%
= 稅後 ROIC	17.5%	29.9%	35.0%	43.4%	46.9%

資料來源：公司資料，凱基

個股報告



中國信託證券投顧
CTBC SECURITIES INVESTMENT SERVICE

資產負債表

(百萬元)	2021	2022	2023	2024
資產總計	5,029	5,424	5,336	5,301
流動資產	4,495	4,422	3,602	2,767
現金及約當現金	4,005	4,098	1,890	2,083
應收帳款與票據	155	111	200	224
存貨	1	2	2	4
採權益法之投資	--	--	--	--
不動產、廠房設備	25	75	96	131
負債總計	258	435	525	480
流動負債	175	321	399	365
應付帳款及票據	3	0	0	0
非流動負債	83	114	127	115
權益總計	4,771	4,989	4,811	4,821
普通股股本	507	507	507	507
保留盈餘	172	383	206	207
母公司業主權益	4,771	4,989	4,811	4,821
負債及權益總計	5,029	5,424	5,336	5,301

現金流量表

(百萬元)	2021	2022	2023	2024
營業活動現金	311	718	-69	372
稅前純益	177	384	-99	12
折舊及攤銷	148	195	272	469
營運資金變動	-38	39	-88	-26
其他營運現金	25	100	-154	-82
投資活動現金	-225	-469	-2,035	-153
資本支出淨額	-9	-60	-51	-4
長期投資變動	0	180	-1,078	1,078
其他投資現金	-216	-589	-906	-1,227
籌資活動現金	3,394	-164	-102	-35
長借/公司債變動	0	0	0	0
現金增資	3,447	0	0	0
發放現金股利	-32	-144	-76	0
其他籌資現金	-21	-19	-26	-35
淨現金流量	3,478	93	-2,208	193
期初現金	527	4,005	4,098	1,890
期末現金	4,005	4,098	1,890	2,083

資料來源：中信、CMoney

損益表

(百萬元)	2023	2024	2025F	2026F	2027F
營業收入淨額	1,058	1,382	1,657	2,169	2,948
營業成本	1	1	1	1	2
營業毛利淨額	1,057	1,381	1,656	2,168	2,946
營業費用	1,325	1,657	1,854	1,873	2,022
營業利益	-268	-276	-198	295	924
EBITDA	22	377	281	870	1,469
業外收入及支出	169	288	-50	91	60
稅前純益	-99	12	-248	387	984
所得稅	3	10	-11	81	206
稅後純益	-102	2	-237	306	778
公告基本 EPS(元)	-2.01	0.04	--	--	--
調整後 EPS(元)	-2.01	0.04	-4.67	6.03	15.35

註：稅後純益係指本期淨利歸屬於母公司業主。

比率分析

(百萬元)	2023	2024	2025F	2026F	2027F
成長力分析(%)					
營業收入淨額	13.52%	30.60%	19.92%	30.92%	35.92%
營業毛利淨額	13.52%	30.64%	19.90%	30.92%	35.92%
營業利益	--	--	--	--	213.11%
稅後純益	--	--	--	--	154.69%
獲利能力分析(%)					
毛利率	99.92%	99.95%	99.94%	99.94%	99.94%
EBITDA(%)	2.06%	27.31%	16.95%	40.12%	49.82%
營益率	-25.38%	-19.98%	-11.97%	13.60%	31.34%
稅後純益率	-9.62%	0.14%	-14.29%	14.09%	26.40%
ROE(%)	-2.08%	0.04%	-4.90%	6.29%	15.94%

Ratios & Valuation

	12/25	12/26E	12/27E	12/28E
P/E (X)	51.5	40.8	21.6	14.4
P/B (X)	3.4	4.6	4.2	3.8
FCF yield (%)	0.2	1.7	4.0	6.4
EV/EBITDAR (X)	41.2	38.1	19.1	12.5
EV/EBITDA (excl. leases) (X)	41.2	38.1	19.1	12.5
CROCI (%)	15.6	17.0	29.6	41.7
ROE (%)	6.8	11.6	20.4	27.8
Net debt/equity (%)	(16.9)	(17.5)	(22.3)	(27.2)
Net debt/equity (excl. leases) (%)	(16.9)	(17.5)	(22.3)	(27.2)
Interest cover (X)	32.2	46.6	101.0	155.2
Days inventory outst, sales	70.7	81.2	79.2	74.3
Receivable days	50.2	49.1	50.1	48.9
Days payable outstanding	102.1	96.2	99.1	95.8
DuPont ROE (%)	6.6	11.3	19.4	26.5
Turnover (X)	0.4	0.5	0.6	0.7
Leverage (X)	1.2	1.2	1.2	1.2
Gross cash invested (ex cash) (NT\$)	25,571.8	27,652.9	29,431.0	30,975.6
Average capital employed (NT\$)	26,374.6	32,014.3	33,202.4	34,159.6
BVPS (NT\$)	96.11	101.21	111.39	122.18

Growth & Margins (%)

	12/25	12/26E	12/27E	12/28E
Total revenue growth	1.9	25.2	32.4	27.8
EBITDA growth	(1.0)	55.8	96.6	49.0
EPS growth	7.7	79.3	88.6	49.8
DPS growth	8.4	79.9	88.6	49.8
EBIT margin	11.5	16.3	26.7	32.1
EBITDA margin	15.7	19.5	29.0	33.8
Net income margin	13.2	18.9	27.0	31.6

Income Statement (NT\$ mn)

	12/25	12/26E	12/27E	12/28E
Total revenue	18,812.1	23,551.1	31,181.2	39,865.1
Cost of goods sold	(9,101.9)	(11,542.6)	(14,104.7)	(17,722.3)
SG&A	(2,438.8)	(2,454.3)	(2,622.0)	(2,789.5)
R&D	(5,110.9)	(5,717.4)	(6,138.5)	(6,571.5)
Other operating inc./exp.)	—	—	—	—
EBITDA	2,951.9	4,598.1	9,037.7	13,468.3
Depreciation & amortization	(791.3)	(761.3)	(721.7)	(686.6)
EBIT	2,160.6	3,836.9	8,315.9	12,781.7
Net interest inc./exp.)	318.8	597.7	597.7	597.7
Income/(loss) from associates	(61.5)	0.0	0.0	—
Pre-tax profit	2,677.0	4,621.8	8,833.6	13,299.4
Provision for taxes	(144.1)	(287.3)	(549.1)	(826.7)
Minority interest	(55.0)	123.2	123.2	123.2
Preferred dividends	—	—	—	—
Net inc. (pre-exceptionals)	2,477.9	4,457.8	8,407.7	12,595.9
Post-tax exceptionals	—	—	—	—
Net inc. (post-exceptionals)	2,477.9	4,457.8	8,407.7	12,595.9
EPS (basic, pre-exception) (NT\$)	6.40	11.48	21.66	32.44
EPS (diluted, pre-exception) (NT\$)	6.40	11.48	21.66	32.44
EPS (basic, post-exception) (NT\$)	6.40	11.48	21.66	32.44
EPS (diluted, post-exception) (NT\$)	6.40	11.48	21.66	32.44
DPS (NT\$)	6.38	11.48	21.66	32.44
Div. payout ratio (%)	99.7	100.0	100.0	100.0

Balance Sheet (NT\$ mn)

	12/25	12/26E	12/27E	12/28E
Cash & cash equivalents	9,756.4	10,293.1	13,063.5	16,270.4
Accounts receivable	2,612.4	3,727.8	4,834.9	5,838.8
Inventory	4,434.5	6,044.4	7,487.6	8,743.7
Other current assets	8,392.9	8,392.9	8,392.9	8,392.9
Total current assets	25,196.2	28,458.2	33,778.8	39,245.7
Net PP&E	5,260.6	4,812.6	4,409.0	4,045.6
Net intangibles	1,808.7	1,615.5	1,417.3	1,214.1
Total investments	3,200.8	3,200.8	3,200.8	3,200.8
Other long-term assets	8,705.0	8,705.0	8,705.0	8,705.0
Total assets	44,171.2	46,792.0	51,510.9	56,411.2
Accounts payable	2,679.0	3,403.1	4,255.3	5,050.6
Short-term debt	662.4	662.4	662.4	662.4
Short-term lease liabilities	—	—	—	—
Other current liabilities	233.0	273.0	313.0	353.0
Total current liabilities	3,574.4	4,338.5	5,230.7	6,066.0
Long-term debt	2,695.0	2,695.0	2,695.0	2,695.0
Long-term lease liabilities	—	—	—	—
Other long-term liabilities	148.6	148.6	148.6	148.6
Total long-term liabilities	2,843.6	2,843.6	2,843.6	2,843.6
Total liabilities	6,418.0	7,182.1	8,074.3	8,909.6
Preferred shares	—	—	—	—
Total common equity	37,316.5	39,296.4	43,246.3	47,434.5
Minority interest	436.7	313.5	190.3	67.0
Total liabilities & equity	44,171.2	46,792.0	51,510.9	56,411.2
Net debt, adjusted	(6,398.9)	(6,935.6)	(9,706.0)	(12,912.9)

Cash Flow (NT\$ mn)

	12/25	12/26E	12/27E	12/28E
Net income	2,477.9	4,457.8	8,407.7	12,595.9
D&A add-back	791.3	761.3	721.7	686.6
Minority interest add-back	55.0	(123.2)	(123.2)	(123.2)
Net (inc)/dec working capital	(1,366.9)	(2,001.2)	(1,698.0)	(1,464.7)
Other operating cash flow	346.9	0.0	0.0	—
Cash flow from operations	2,304.3	3,094.6	7,308.2	11,694.6
Capital expenditures	(2,060.3)	(80.0)	(80.0)	(80.0)
Acquisitions	(1,701.0)	—	—	—
Divestitures	—	—	—	—
Others	(4,772.8)	—	—	—
Cash flow from investing	(8,534.2)	(80.0)	(80.0)	(80.0)
Repayment of lease liabilities	—	—	—	—
Dividends paid (common & pref)	(927.4)	(2,477.9)	(4,457.8)	(8,407.7)
Inc/(dec) in debt	1,589.8	—	—	—
Other financing cash flows	(878.7)	0.0	0.0	0.0
Cash flow from financing	(216.3)	(2,477.9)	(4,457.8)	(8,407.7)
Total cash flow	(6,446.2)	536.7	2,770.4	3,206.9
Free cash flow	243.9	3,014.6	7,228.2	11,614.6

Source: Company data, Goldman Sachs Research estimates.

Consolidated Income Statements

NT\$mnn (Year End Dec)	2023	2024	2025E	2026E	2027E
Net sales	401,227	421,148	558,571	738,715	861,398
COGS	(284,013)	(284,567)	(367,745)	(475,083)	(548,606)
Gross profit	117,213	136,580	190,826	263,632	312,792
Operating expenses	(76,263)	(88,928)	(106,081)	(136,555)	(160,342)
Operating income	40,950	47,652	84,746	127,077	152,450
Non-operating income	7,692	3,664	5,754	4,200	4,200
Interest income	899	1,859	1,596	1,800	1,800
Investment income	(197)	(162)	864	-	-
Exchange gain	1,275	1,041	533	-	-
Other	5,714	926	2,761	2,400	2,400
Pre-tax income	48,642	51,316	90,499	131,277	156,650
Income tax	(9,762)	(10,925)	(21,153)	(30,563)	(36,403)
Minority interests	(5,488)	(5,163)	(7,714)	(9,715)	(10,794)
Net income	33,393	35,229	61,633	90,999	109,452
Modelware EPS (NT\$)	12.86	13.56	23.73	35.03	42.14

Consolidated Cash Flow Statements

NT\$mnn (Year End Dec)	2023	2024	2025E	2026E	2027E
Operating CF	71,086	72,895	76,694	106,194	132,246
Net Profits	33,393	35,229	61,633	90,999	109,452
Depreciation & Amort.	21,590	25,016	28,077	31,038	33,605
Change in WC	2,289	(2,486)	(33,619)	(43,983)	(29,975)
Other adjustments	13,815	15,137	20,603	28,140	19,164
Investing CF	(33,502)	(40,360)	(31,000)	(30,000)	(26,000)
Change of FA (Capex)	(27,778)	(33,435)	(31,000)	(30,000)	(26,000)
Change of L/T invest.	4	(4,739)	-	-	-
Other adjustments	(6,100)	(1,644)	-	-	-
Financing CF	(10,478)	(11,118)	(27,869)	(32,862)	(39,096)
Increase in L/T debt	(8,048)	8,552	2,356	2,322	884
Increase in S/T debt	874	(1,417)	140	138	53
Issuance of stock	-	-	-	-	-
Cash dividends	(27,455)	(18,696)	(27,305)	(31,401)	(36,111)
Other adjustments	24,151	444	(3,060)	(3,922)	(3,922)
FX adjust.	(1,198)	8,586	-	-	-
Net change in cash	25,909	30,003	17,824	43,332	67,150

Consolidated Balance Sheets

NT\$mnn (Year End Dec)	2023	2024	2025E	2026E	2027E
Cash	87,456	117,459	135,284	178,616	245,766
Mkt securities	5,164	4,333	4,333	4,333	4,333
A/R	79,380	89,921	119,262	157,725	183,920
Inventory	76,227	83,856	108,367	139,997	161,663
Others	11,732	15,355	20,366	26,934	31,407
Current Assets	259,958	310,925	387,612	507,606	627,090
Long-term investments	4,205	4,740	4,740	4,740	4,740
Fixed assets	98,011	115,710	122,556	125,439	121,756
Other assets	95,572	100,523	100,523	100,523	100,523
Total Assets	457,747	531,898	615,430	738,308	854,108
S/T borrowings	3,335	1,918	2,058	2,196	2,249
AP/NP	53,539	69,223	89,457	115,568	133,453
Other ST liabilities	69,211	81,142	107,619	142,327	165,965
Total current liabilities	126,085	152,283	199,134	260,091	301,666
L/T debt	22,320	32,209	34,565	36,887	37,771
Other LT liabilities	66,606	67,840	67,840	67,840	67,840
Total Liabilities	215,011	252,332	301,539	364,818	407,277
Common shares	25,975	25,975	25,975	25,975	25,975
Retained Earnings	86,872	102,429	136,756	196,354	269,696
Other SH equity	129,888	151,161	151,159	151,159	151,159
Shareholders' equity	242,735	279,565	313,891	373,489	446,831
Total Liab./SE	457,747	531,898	615,430	738,308	854,108

Consolidated Financial Ratios

	2023	2024	2025E	2026E	2027E
Margins (%)					
Gross margin	29.2	32.4	34.2	35.7	36.3
Operating margin	10.2	11.3	15.2	17.2	17.7
Pretax margin	12.1	12.2	16.2	17.8	18.2
Net margin	8.3	8.4	11.0	12.3	12.7
YoY growth (%)					
Sales	4	5	33	32	17
Operating profits	-1	16	78	50	20
Pretax profits	6	5	76	45	19
Net profits	2	5	75	48	20
Others					
Cash div payout (%)	50%	52%	52%	52%	52%
Adjusted cash div (NT\$)	6.4	7.0	12.2	18.1	21.7
Yield (%)	1%	1%	1%	2%	2%
Net Debt/Equity (%)	-28%	-31%	-33%	-39%	-47%
Liabilities/Equity (%)	89%	90%	96%	98%	91%
Liabilities/Assets (%)	47%	47%	49%	49%	48%
ROAE (%)	14%	13%	21%	26%	27%
ROAA (%)	8%	7%	11%	13%	14%
AR/NR days	76	73	68	68	72
Inventory days	100	103	95	95	100
AP/NP days	75	79	79	79	83
Cash conversion	101	97	85	85	90

Key assumptions

Year to 31 Dec	2018	2019	2020	2021	2022	2023E	2024E	2025E
Sales growth of OEM business (%)	(11.1)	(30.4)	(11.9)	12.0	12.9	5.0	7.1	7.1
Sales growth of AM business (%)	(2.7)	7.5	(22.7)	3.7	17.1	13.4	7.5	7.5
Consolidated gross margin (%)	22.9	25.0	19.9	19.0	23.6	29.0	29.4	29.8

Profit and loss (TWDm)

Year to 31 Dec	2018	2019	2020	2021	2022	2023E	2024E	2025E
AM	14,768	15,877	12,266	12,716	14,891	16,884	18,147	19,511
OEM-China	5,762	3,586	3,076	3,658	4,408	4,629	4,999	5,399
Other Revenue	2,477	2,151	1,981	2,007	1,983	2,079	2,183	2,292
Total Revenue	23,007	21,614	17,323	18,380	21,283	23,593	25,329	27,202
Other income	0	0	0	0	0	0	0	0
COGS	(17,745)	(16,211)	(13,880)	(14,893)	(16,255)	(16,742)	(17,878)	(19,097)
SG&A	(2,775)	(2,634)	(2,394)	(2,434)	(2,591)	(2,737)	(2,913)	(3,101)
Other op. expenses	(637)	(605)	(509)	(510)	(503)	(590)	(633)	(680)
Operating profit	1,850	2,164	540	543	1,935	3,524	3,905	4,324
Net-interest inc./(exp.)	(169)	(170)	(145)	(110)	(72)	13	13	13
Assoc/forex/extraord./others	735	363	491	334	738	342	214	254
Pre-tax profit	2,416	2,358	885	767	2,600	3,879	4,132	4,591
Tax	(484)	(502)	(142)	(130)	(564)	(807)	(859)	(955)
Min. int./pref. div./others	(6)	129	77	50	115	(5)	0	0
Net profit (reported)	1,926	1,984	820	688	2,151	3,067	3,272	3,636
Net profit (adjusted)	1,926	1,984	820	688	2,151	3,067	3,272	3,636
EPS (reported)(TWD)	3.256	3.355	1.386	1.162	3.637	5.186	5.532	6.147
EPS (adjusted)(TWD)	3.256	3.355	1.386	1.162	3.637	5.186	5.532	6.147
EPS (adjusted fully-diluted)(TWD)	3.256	3.354	1.385	1.160	3.636	5.185	5.531	6.145
DPS (TWD)	1.700	1.800	0.800	0.850	2.500	3.630	3.873	4.303
EBIT	1,850	2,164	540	543	1,935	3,524	3,905	4,324
EBITDA	5,059	5,514	3,834	3,511	4,794	6,959	7,568	8,215

Cash flow (TWDm)

Year to 31 Dec	2018	2019	2020	2021	2022	2023E	2024E	2025E
Profit before tax	2,416	2,358	885	767	2,600	3,879	4,132	4,591
Depreciation and amortisation	3,209	3,350	3,295	2,967	2,859	3,434	3,663	3,891
Tax paid	(484)	(502)	(142)	(130)	(564)	(807)	(859)	(955)
Change in working capital	(190)	53	963	(537)	(438)	(219)	(259)	(240)
Other operational CF items	(249)	(31)	(59)	819	1,134	880	830	790
Cash flow from operations	4,703	5,227	4,941	3,886	5,592	7,168	7,506	8,077
Capex	(3,573)	(3,170)	(2,402)	(2,373)	(2,216)	(2,300)	(2,300)	(2,300)
Net (acquisitions)/disposals	396	939	56	451	1,522	0	0	0
Other investing CF items	(292)	(831)	(166)	(349)	(100)	0	0	0
Cash flow from investing	(3,469)	(3,062)	(2,513)	(2,271)	(793)	(2,300)	(2,300)	(2,300)
Change in debt	129	(1,158)	(600)	0	0	0	0	0
Net share issues/(repurchases)	0	0	0	0	0	0	0	0
Dividends paid	(1,213)	(1,006)	(1,065)	(473)	(503)	(2,147)	(2,291)	(2,545)
Other financing CF items	(208)	100	(380)	(1,209)	(3,449)	0	0	0
Cash flow from financing	(1,292)	(2,064)	(2,045)	(1,682)	(3,952)	(2,147)	(2,291)	(2,545)
Forex effect/others	0	0	0	0	0	0	0	0
Change in cash	(58)	101	384	(67)	847	2,720	2,915	3,232
Free cash flow	1,130	2,057	2,539	1,513	3,376	4,868	5,206	5,777

Source: FactSet, Daiwa forecasts

Balance sheet (TWDm)

Year to 31 Dec	2018	2019	2020	2021	2022	2023E	2024E	2025E
Cash & short-term investment	1,136	1,180	1,537	1,454	2,344	5,121	8,094	11,383
Inventory	2,814	2,584	2,664	3,047	3,057	3,296	3,453	3,775
Accounts receivable	4,493	4,650	3,576	3,769	4,159	4,949	4,658	5,752
Other current assets	578	421	376	374	426	426	426	426
Total current assets	9,021	8,834	8,153	8,643	9,987	13,792	16,632	21,336
Fixed assets	20,449	20,387	19,458	18,884	18,192	17,058	15,695	14,103
Goodwill & intangibles	1,125	1,614	1,436	1,261	874	874	874	874
Other non-current assets	6,663	6,271	6,507	5,666	4,487	4,487	4,487	4,487
Total assets	37,258	37,105	35,553	34,453	33,540	36,210	37,688	40,800
Short-term debt	2,637	2,911	1,823	2,202	1,620	1,620	1,620	1,620
Accounts payable	4,224	4,199	4,268	4,411	4,269	5,079	4,686	5,860
Other current liabilities	611	507	290	295	1,000	1,000	1,000	1,000
Total current liabilities	7,471	7,618	6,382	6,908	6,890	7,699	7,307	8,481
Long-term debt	6,888	5,760	5,926	4,568	1,839	1,839	1,839	1,839
Other non-current liabilities	1,025	989	886	710	545	545	545	545
Total liabilities	15,385	14,367	13,194	12,186	9,275	10,084	9,692	10,866
Share capital	5,915	5,915	5,915	5,915	5,915	5,915	5,915	5,915
Reserves/R.E./others	15,033	16,056	15,756	15,723	17,834	19,690	21,559	23,498
Shareholders' equity	20,947	21,971	21,671	21,637	23,749	25,605	27,474	29,412
Minority interests	926	768	688	630	517	522	522	522
Total equity & liabilities	37,258	37,105	35,553	34,453	33,540	36,210	37,688	40,800
EV	55,982	54,927	53,568	52,614	48,300	45,528	42,555	39,265
Net debt/(cash)	8,389	7,492	6,212	5,316	1,115	(1,661)	(4,634)	(7,924)
BVPS (TWD)	35.415	37.146	36.639	36.582	40.151	43.289	46.450	49.727

Key ratios (%)

Year to 31 Dec	2018	2019	2020	2021	2022	2023E	2024E	2025E
Sales (YoY)	(5.9)	(6.1)	(19.9)	6.1	15.8	10.9	7.4	7.4
EBITDA (YoY)	(7.7)	9.0	(30.5)	(8.4)	36.6	45.2	8.8	8.6
Operating profit (YoY)	(26.0)	17.0	(75.1)	0.6	256.2	82.2	10.8	10.7
Net profit (YoY)	(17.7)	3.0	(58.7)	(16.1)	212.9	42.6	6.7	11.1
Core EPS (fully-diluted) (YoY)	(17.7)	3.0	(58.7)	(16.3)	213.4	42.6	6.7	11.1
Gross-profit margin	22.9	25.0	19.9	19.0	23.6	29.0	29.4	29.8
EBITDA margin	22.0	25.5	22.1	19.1	22.5	29.5	29.9	30.2
Operating-profit margin	8.0	10.0	3.1	3.0	9.1	14.9	15.4	15.9
Net profit margin	8.4	9.2	4.7	3.7	10.1	13.0	12.9	13.4
ROAE	9.3	9.2	3.8	3.2	9.5	12.4	12.3	12.8
ROAA	5.1	5.3	2.3	2.0	6.3	8.8	8.9	9.3
ROCE	6.0	6.9	1.8	1.8	6.8	12.3	12.8	13.3
ROIC	4.9	5.6	1.5	1.6	5.7	11.2	12.9	15.1
Net debt to equity	40.0	34.1	28.7	24.6	4.7	n.a.	n.a.	n.a.
Effective tax rate	20.0	21.3	16.1	16.9	21.7	20.8	20.8	20.8
Accounts receivable (days)	75.5	77.2	86.7	72.9	68.0	70.5	69.2	69.8
Current ratio (x)	1.2	1.2	1.3	1.3	1.4	1.8	2.3	2.5
Net interest cover (x)	11.0	12.7	3.7	5.0	26.7	n.a.	n.a.	n.a.
Net dividend payout	52.2	53.7	57.7	73.1	68.7	70.0	70.0	70.0
Free cash flow yield	2.4	4.4	5.4	3.2	7.2	10.4	11.2	12.4

Source: FactSet, Daiwa forecasts